

through a corporate acquisition, had obtained the benefits of some loss carry-forward, which had made possible subnormal income tax charges during much of this period. This made any price calculated on the basis of past statistics seem even higher. Finally, even if 1956 earnings were included in an evaluation, a superficial study of this situation might still have produced grave forebodings. True, the company was currently doing remarkably well in the promising field of transistors. But regardless of the obviously glowing future for the semi-conductor industry as a whole, how long could a company of this size be expected to maintain its strong trade position against the larger and older companies, with much stronger balance sheets, which were sure to make a major competitive effort to participate in the great growth that lay ahead for transistors?

When the usual SEC channels reported this officers selling, a rash of heavy trading broke out in Texas Instruments shares with relatively little change in price. Much of this selling, I suspect, was induced by various brokerage comments that appeared. Most of these furnished the past statistical record and commented on the historically high price, the competition that lay ahead, and the inside selling. One such bulletin went so far as to express complete agreement with the management of Texas Instruments. It reported the officers were selling and stated: "We agree with them and recommend the same course!" The major buyer during this period, I have been told, was a large and well-informed institution.

What happened in the next twelve months? Texas Instruments' geophysical and military electronic business, overlooked in the flurry of controversy, continued to grow. The semi-conductor (transistor) division grew even more rapidly. More important than the growth in transistor volume were the great strides taken by this able management in research, in plans for mechanization, and in building up the distribution organization in this key semi-conductor field. As evidence piled up that 1956 results were not a flash in the pan but that this relatively small company would continue as one of the largest and lowest cost producers in what promises to be one of the fastest growing segments of American industry, the financial community began revising upward the priceearnings ratio it would pay for a chance to participate in this well-run enterprise. As the summer of 1957 came around and the management publicly estimated that year's per-share